

# LALDM — Liability Allocation Distribution Module

## LALDM — Liability Allocation Distribution Module

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## Canonical Definition

The Liability Allocation Distribution Module (LALDM) governs how an Identified Liability Allocation Structure is transformed into an explicit, traceable, bounded, and methodologically governed distribution of established Liability across applicable Liability Subjects, Liability Relationships, Scope portions, obligations, layers, or other legitimate Allocation dimensions.

LALDM applies the governed Allocation Method to the identified Allocation Object and establishes what portion, share, obligation, role, or other governed Liability extent is allocated to each applicable participant or Relationship.

It preserves unresolved, unallocated, overlapping, conditional, and disputed portions rather than forcing artificial completeness.

LALDM does not determine whether Liability initially attaches.

It does not establish Liability Scope.

It does not determine insurance payment, indemnification, Transfer, Recourse, settlement, Resolution, Discharge, or Finality.

It governs the transition:

Identified Liability Allocation Structure → Allocation Readiness → Allocation Method Application → Distribution → Distribution Integrity → Governed Liability Allocation  
Its foundational distinction is:

Liability Allocation ≠ Payment Distribution.

## Operational Role

The operational role of LALDM is:

to perform the governed distribution of established and scoped Liability across the applicable Liability structure.

LALIM identifies:

what must be allocated, which Subjects and Relationships participate, which Scope portions are involved, and which Allocation structure applies.

LALDM performs that distribution.

## Position in the LSAS Internal Flow

The internal LSAS progression is:

Liability Scope Identification → Liability Scope Boundary → Liability Allocation Identification → Liability Allocation Distribution → Liability Scope & Allocation Reconciliation LALDM governs:

## **Liability Allocation Distribution**

Its principal input is:

## **Identified Liability Allocation Structure**

Its principal output is:

## **Governed Liability Allocation**

Its handoff is:

Governed Liability Allocation → LSARM — Liability Scope & Allocation Reconciliation Module

## **Central Operational Question**

How must the identified Liability Scope or its relevant portions be distributed across the applicable Liability Subjects and Liability Relationships under the governed Allocation structure?

## **Allocation Readiness**

Before distribution begins, LALDM should confirm that:

the Allocation Object is explicit, the Governed Liability Scope is identifiable, the relevant Subjects are identifiable, the relevant Relationships are identifiable, the applicable Liability Bases are known, the Allocation dimensions are sufficiently represented, the Allocation Method is defined or determinable, and material dependencies are visible.

Distribution should not proceed merely because several Subjects are present.

## **Allocation Object Integrity**

The Liability being distributed must remain traceable to the Allocation Object identified by LALIM.

LALDM must not silently enlarge the Allocation Object during distribution.

Therefore:

Distribution ≠ Scope Expansion.

## **Allocation Method**

Every material Liability distribution should use an identifiable Allocation Method.

The method may be:

individual, shared, proportional, non-proportional, layered, conditional, sequential, composite, or another legitimately governed method.

## **Method Applicability**

A valid Allocation Method does not automatically apply to every Liability structure.

Its applicability should be established for the specific Allocation Object.

Therefore:

Valid Allocation Method ≠ Applicable Allocation Method by default.

## **Method Authority**

Where an Allocation Method derives from an external authority, contract, methodology, institutional process, or other legitimate source, that source should remain identifiable.

LALDM should not manufacture Allocation authority merely because distribution is required.

## **No Outcome-Driven Method Selection**

An Allocation Method should not be selected merely because it produces a preferred distribution.

Therefore:

Preferred Distribution  $\neq$  Allocation Method.

## **Distribution Unit**

LALDM should preserve the Allocation Unit identified for the distribution.

This may be:

monetary, quantitative, proportional, temporal, obligation-based, performance-based, categorical, or another governed unit.

## **Quantitative Distribution**

Where Liability is quantitatively allocable, LALDM may distribute:

amounts, percentages, fractions, units, durations, or other measurable portions.

The quantitative result should remain traceable to the applicable Allocation Method.

## **Qualitative Distribution**

Liability Allocation may also be qualitative.

Different Subjects may receive distinct:

performance obligations, repair obligations, restoration obligations, corrective obligations, restrictions, or other governed requirements.

Therefore:

Liability Allocation  $\neq$  Monetary Distribution by default.

## **Individual Distribution**

Where the Allocation structure assigns a Liability portion to one Subject or Relationship, LALDM should explicitly represent that individual Allocation.

## **Shared Distribution**

Where multiple Subjects participate in the same governed Liability Scope or portion, LALDM may establish a shared Allocation.

Shared does not imply equal.

Therefore:

Shared Liability  $\neq$  Equal Liability.

## **Proportional Distribution**

Where the applicable methodology requires proportional distribution, LALDM should apply the governed proportional mechanism.

The resulting proportions should be explicit and reconstructable.

## **Percentage Distribution**

Where percentages are used, the percentage should represent only the Allocation dimension to which it applies.

Therefore:

Allocation Percentage  $\neq$  Universal Liability Percentage.

A Subject may possess different percentages across different Liability Objects, Relationships, Bases, obligations, or periods.

## **Non-Proportional Distribution**

Where Liability is not meaningfully reducible to a shared quantitative whole, LALDM should preserve non-proportional distribution.

For example, different Subjects may bear different obligations rather than portions of the same amount.

## **Layered Distribution**

Where Liability exists across multiple layers, LALDM should distribute Liability within the appropriate layer without collapsing separate Liability structures.

Therefore:

Primary Allocation  $\neq$  Secondary Allocation.

## **Conditional Distribution**

A Liability Allocation may apply only if a defined governed condition is satisfied.

Conditional Allocations should remain explicitly conditional until the relevant condition state is established.

Therefore:

Conditional Allocation  $\neq$  Active Allocation by default.

## **Sequential Distribution**

Where the applicable Allocation structure requires a sequence, LALDM should preserve the order in which Allocation steps occur.

A later Allocation step should not be treated as independent where it depends upon an earlier one.

## **Composite Distribution**

Complex Liability may require multiple Allocation Methods.

For example, one Scope portion may be proportional while another is individually assigned.

LALDM should preserve the composite structure.

## **Subject-Specific Distribution**

Every allocated Liability portion should remain associated with the applicable Liability Subject.

Therefore:

Allocation to Subject A  $\neq$  Allocation to Subject B.

## **Relationship-Specific Distribution**

Every Allocation should remain associated with the Liability Relationship through which it exists.

Therefore:

Subject Allocation  $\neq$  Universal Allocation across all Subject Relationships.

## **Basis-Specific Distribution**

Where multiple Liability Bases exist, Allocation should remain Basis-specific where materially necessary.

Therefore:

Allocation under Basis A  $\neq$  Allocation under Basis B.

## **Scope-Portion Distribution**

Where a Governed Liability Scope contains distinct portions, each portion may require a different distribution.

Therefore:

One Governed Liability Scope  $\neq$  One Uniform Allocation by default.

## **Obligation-Specific Distribution**

Different obligations may be distributed differently.

A Subject allocated a repair obligation does not necessarily bear the same allocation for monetary loss or another obligation.

## **Consequence-Specific Distribution**

Where Liability Scope contains several consequences, LALDM should preserve consequence-specific Allocation where required.

Therefore:

Allocation for Consequence A  $\neq$  Allocation for Consequence B by default.

## **Temporal Distribution**

Allocation may differ across time.

A Subject's Liability allocation during one period may differ from another period.

Therefore:

Allocation at T1  $\neq$  Allocation at T2 by default.

## **Network Distribution**

A complex Liability matter may contain multiple local Allocation structures forming a wider Liability Network.

LALDM should distribute Liability locally where required while preserving the wider network structure.

## **Local Allocation**

An Allocation established for one Liability Relationship should not automatically be interpreted as the Allocation for the complete Liability Network.

Therefore:

Local Liability Allocation  $\neq$  Liability Network Allocation.

## **Network-Wide Distribution**

Where a network-wide Allocation is legitimately required, the relationship between local and network-wide Allocations should remain explicit.

Network distribution must not erase the identity of local Liability Relationships.

## **Allocation Sum**

Where the applicable Allocation Method requires portions to reconcile to a defined total, LALDM should verify that relationship.

However, not every Liability structure must sum to 100%.

Therefore:

Liability Allocation  $\neq$  Mandatory 100% Distribution by default.

## **Over-Allocation**

Over-Allocation occurs where the distributed Liability exceeds the governed Allocation Object without a legitimate structural reason.

LALDM should detect and explicitly represent potential Over-Allocation.

## **Legitimate Overlap**

Some Liability structures may legitimately overlap.

Overlap should not automatically be classified as error.

The governing question is whether the overlap reflects distinct Liability Relationships or unintended duplication.

Therefore:

Allocation Overlap  $\neq$  Over-Allocation by default.

## **Under-Allocation**

Under-Allocation occurs where part of the governed Allocation Object remains undistributed.

The undistributed portion should remain visible.

Therefore:

Under-Allocated Liability  $\neq$  Nonexistent Liability.

## **Unallocated Liability**

A Liability portion may remain unallocated because Allocation is:

Pending, Unknown, Uncertain, Disputed, or dependent upon another governed state.

LALDM should preserve the unallocated portion.

## **Zero Allocation**

A governed zero Allocation should be distinguishable from:

no Allocation decision, missing information, Unknown Allocation, or an excluded Subject.

Therefore:

Zero Allocation  $\neq$  Unknown Allocation.

## **Pending Allocation**

A Pending Allocation should remain unresolved until the required dependency or process is completed.

Therefore:

Pending Allocation  $\neq$  Zero Allocation.

## **Unknown Allocation**

Unknown means the available governed structure cannot establish the distribution.

Therefore:

Unknown Allocation  $\neq$  No Liability.

## **Uncertain Allocation**

Where a distribution can be estimated or bounded but not sufficiently established, the uncertainty should remain explicit.

Therefore:

Uncertain Allocation  $\neq$  Final Allocation.

## **Disputed Allocation**

Where materially competing governed distributions exist, the dispute should remain visible.

Therefore:

Disputed Allocation  $\neq$  Authority to Select a Preferred Distribution.

## **Allocation Range**

Where exact Allocation cannot legitimately be established but a bounded range can, LALDM may represent that range where methodologically appropriate.

A range should not be converted into a false point estimate.

## **Allocation Precision**

The precision of Allocation should reflect the precision supported by the governed methodology and inputs.

Therefore:

Available Numerical Precision  $\neq$  Justified Allocation Precision.

## **Allocation Rounding**

Where quantitative Allocation requires rounding, the rounding method and any resulting residual should remain governed.

Rounding should not silently create or remove Liability.

## **Allocation Residual**

A quantitative distribution may produce a residual portion.

The residual should be explicitly:

allocated, preserved as unallocated, or otherwise governed.

Therefore:

Residual Allocation  $\neq$  Zero by default.

## **Allocation Dependency**

Where an Allocation depends upon another governed state, that dependency should remain explicit.

The Allocation should not be represented as unconditional where the dependency remains unresolved.

## **Allocation Prerequisite Failure**

Where a required prerequisite is absent, distribution should not be forced.

The appropriate state may remain:

Pending, Unknown, Uncertain, or another governed unresolved state.

## **Allocation Conflict**

Different applicable Allocation inputs, methods, or authorities may produce conflicting distributions.

LALDM should preserve material conflict for reconciliation.

Therefore:

Allocation Conflict  $\neq$  Authority to Average Allocations.

## **Method Conflict**

Where two Allocation Methods produce incompatible results, the conflict should be explicit.

A preferred method should not be selected without a governed basis.

## **Authority Conflict**

Different authorities may produce different Allocation states.

LALDM should preserve:

which authority produced which Allocation, the applicable Scope, time, and status.

Therefore:

Multiple Authority Allocations  $\neq$  One Unified Allocation by default.

## **Allocation Traceability**

Every material Allocation should remain traceable to:

the Allocation Object, Governed Liability Scope, Liability Determination, Subject, Relationship, Basis, Allocation Method, material inputs, authority where applicable, and time.

## **Allocation Rationale**

The reason for a material Allocation should be reconstructable.

A distribution should not consist solely of an unexplained percentage, amount, or obligation assignment.

Therefore:

Allocation Result  $\neq$  Allocation Rationale.

## **Allocation Explainability**

A qualified reviewer should be able to determine:

what was allocated, to whom, through which Relationship, under which Basis, using which method, and why the resulting distribution followed.

## **Allocation Sufficiency**

A Governed Liability Allocation is sufficiently governed when:

the Allocation Object is explicit, the applicable Scope is known, participants are identified, Relationships are preserved, the Allocation Method is explicit, the distribution is represented, unresolved portions remain visible, and the result is traceable.

## **Allocation Completeness**

Allocation is complete when all materially necessary parts of the Allocation Object are either:

distributed, or explicitly represented as unresolved or legitimately unallocated.

Therefore:

Allocation Completeness  $\neq$  Full Distribution by force.

## **No Harm Shortcut**

The distribution of Harm should not automatically become the distribution of Liability.

Therefore:

Harm Distribution  $\neq$  Liability Allocation.

## **No Causation Shortcut**

Causal contribution should not automatically become Allocation percentage.

Therefore:

Causal Contribution Percentage  $\neq$  Liability Allocation Percentage by default.

## **No Responsibility Shortcut**

Responsibility distribution should not automatically become Liability distribution.

Therefore:

Responsibility Distribution  $\neq$  Liability Allocation.

## **No Accountability Shortcut**

Accountability attribution should not automatically determine Liability Allocation.

Therefore:

Accountability Attribution  $\neq$  Liability Allocation.

## **No Fault Shortcut**

A fault percentage should not automatically become a Liability Allocation percentage.

Therefore:

Fault Percentage  $\neq$  Liability Allocation Percentage by default.

## **No Claim Shortcut**

A Claim may request that Liability be distributed in a particular manner.

That requested distribution is not a Governed Liability Allocation.

Therefore:

Claimed Allocation  $\neq$  Governed Liability Allocation.

## **No Payment Shortcut**

Payment behavior should not automatically be interpreted as underlying Liability Allocation.

Therefore:

Payment Distribution  $\neq$  Liability Allocation.

## **No Settlement Shortcut**

Settlement distribution may reflect compromise, uncertainty, risk management, or other considerations.

Therefore:

Settlement Distribution  $\neq$  Liability Allocation by default.

## **No Insurance Shortcut**

Insurance payment or coverage share does not automatically establish Liability Allocation.

Therefore:

Insurance Payment Share  $\neq$  Liability Allocation.

## **No Ability-to-Pay Shortcut**

A Subject's ability to pay should not determine its Liability Allocation unless the applicable methodology legitimately requires that factor.

Therefore:

Ability to Pay  $\neq$  Liability Allocation.

## **Primary Liability and Economic Burden**

LALDM governs distribution of the established Liability.

It does not necessarily govern the final economic burden after:

insurance, indemnification, Transfer, Recourse, reimbursement, or other downstream mechanisms.

Therefore:

Primary Liability Allocation  $\neq$  Final Economic Burden.

## **Liability-Bearing Party and Paying Party**

A Subject allocated Liability may differ from the party that ultimately makes payment.

Therefore:

Liability-Bearing Party  $\neq$  Paying Party.

## **Allocation and Insurance**

Insurance may satisfy or reimburse an economic obligation without rewriting the underlying primary Allocation.

Therefore:

Insurance Performance  $\neq$  Liability Reallocation by default.

## **Allocation and Indemnification**

Indemnification may create a secondary economic relationship.

It does not automatically alter the primary Liability Allocation.

Therefore:

Indemnification Payment  $\neq$  Primary Liability Reallocation.

## **Allocation and Transfer**

A later Liability Transfer may change the operative Liability structure.

That process belongs primarily to LTRS.

Therefore:

Liability Allocation  $\neq$  Liability Transfer.

## **Allocation and Recourse**

A Subject may receive a primary Liability Allocation and later possess a Recourse relationship against another Subject.

Therefore:

Primary Allocation  $\neq$  Recourse Allocation.

## **Allocation and Resolution**

A distributed Liability may later be resolved through payment, performance, settlement, discharge, or another mechanism.

Allocation itself does not constitute Resolution.

Therefore:

Allocated Liability  $\neq$  Resolved Liability.

## **Allocation Change**

A Governed Liability Allocation may change when:

Scope changes, the underlying Determination changes, a material input changes, a distribution error is corrected, a dependency resolves, an authority changes the applicable state, or another legitimate governance event occurs.

## **Allocation Correction**

Where an Allocation was incorrectly calculated, represented, or associated, it may be corrected.

Earlier materially relevant states should remain preserved.

Therefore:

Allocation Correction  $\neq$  Historical Erasure.

## **Allocation Reassessment**

A correct earlier Allocation may require reassessment because the governed circumstances changed.

Therefore:

Allocation Reassessment  $\neq$  Allocation Correction.

## **Allocation Reversal**

An Allocation may later be reversed or superseded where a legitimate governance process requires it.

Reversal should not delete the earlier state.

Therefore:

Allocation Reversal  $\neq$  Historical Erasure.

## Allocation Versioning

Material Allocation changes should create traceable state transitions or versions.

The system should preserve:

prior distribution, new distribution, reason for change, time, authority, and relationship between states.

## Current Allocation

The current Allocation should be explicitly distinguishable from historical Allocations.

Therefore:

Current Liability Allocation  $\neq$  Complete Liability Allocation History.

## Re-Entry to Allocation Identification

Where distribution reveals that the participant structure, Allocation Object, method requirement, or dependencies were incorrectly identified, the matter should return to LALIM.

LALDM should not silently redesign the Allocation structure during distribution.

## Re-Entry to Scope Boundary

Where distribution reveals that the underlying Scope is defective, the matter should return to LSCBM.

Therefore:

Allocation Adjustment  $\neq$  Substitute for Scope Correction.

## Re-Entry to Liability Determination

Where the problem originates in the underlying Attachment Determination, the matter should return to LDS.

Allocation must not compensate for invalid Liability Determination.

## Earlier Lifecycle Re-Entry

Where the defect originates earlier in LIGA™, governance should return to the earliest materially affected governance space.

The governing principle remains:

Re-enter the earliest materially affected governance space.

## Historical Integrity

Material Allocation history should remain reconstructable after correction, reassessment, reversal, supersession, or reentry.

Therefore:

Superseded Allocation  $\neq$  Deleted Allocation.

## Governed Liability Allocation

The principal output of LALDM is:

## Governed Liability Allocation

It should identify, where applicable:

Allocation identity, Allocation Object, Scope reference, Liability Determination reference, Subject, Relationship, Basis, Allocation Method, Allocation Unit, allocated portion, obligation, layer, condition, time, unallocated portion, overlap, uncertainty, dispute, authority, rationale, and provenance.

## Meaning of the Output

A Governed Liability Allocation means that the applicable Liability Scope or portions have been sufficiently distributed across the relevant Liability structure.

It does not mean that the complete LSAS governance process has finished.

The Scope and Allocation structures must still be reconciled.

Therefore:

Governed Liability Allocation  $\neq$  Reconciled Liability Scope & Allocation Structure.

## **Handoff to Scope & Allocation Reconciliation**

LALDM hands the:

### **Governed Liability Allocation**

together with the applicable:

### **Governed Liability Scope**

to:

## **LSARM — Liability Scope & Allocation Reconciliation Module**

The next governance question becomes:

Does the resulting Liability Allocation remain consistent with the Governed Liability Scope, without unexplained gaps, duplication, contradiction, overreach, or loss of structural integrity?

The boundary is explicit:

LALIM identifies the Allocation structure.

LALDM performs the distribution.

LSARM reconciles Scope and Allocation into the final LSAS output.

## **Minimum Implementation Framework**

A conforming implementation of LALDM must provide exactly the following eight capabilities:

### **Allocation Readiness & Method Applicability Governance**

Capability to verify Allocation Object, Scope, Subjects, Relationships, Bases, dimensions, dependencies, and applicable Allocation Method before distribution begins.

### **Quantitative & Qualitative Distribution Governance**

Capability to distribute Liability through monetary, proportional, quantitative, temporal, obligation-based, performancebased, categorical, or other legitimate Allocation units.

### **Subject, Relationship, Basis & Scope-Portion Distribution Governance**

Capability to preserve Subject-specific, Relationship-specific, Basis-specific, Scope-specific, obligation-specific, consequence-specific, and temporal Allocation distinctions.

### **Shared, Layered, Conditional, Sequential & Composite Distribution Governance**

Capability to govern complex distributions without forcing every Liability structure into equal, proportional, flat, or singlelayer Allocation.

### **Unallocated, Overlapping, Residual & Network Distribution Governance**

Capability to identify and preserve unallocated portions, legitimate overlap, potential Over-Allocation, Under-Allocation, residuals, local Allocations, and Liability Network structures.

### **Uncertainty, Conflict, Authority, Rationale & Traceability Governance**

Capability to preserve Pending, Unknown, Uncertain, Disputed, conflicting, and authority-specific Allocations while maintaining explicit rationale and reconstruction paths.

## **Allocation Change, Correction, Reassessment, Versioning & Re-Entry**

Capability to govern material Allocation changes, corrections, reassessments, reversals, supersession, historical integrity, and targeted lifecycle re-entry.

## **Scope & Allocation Reconciliation Handoff Governance**

Capability to produce a Governed Liability Allocation sufficiently explicit, bounded, traceable, and historically coherent for reconciliation with the Governed Liability Scope.

## **Governance Logic**

The canonical LALDM governance logic is:

### **Identified Liability Allocation Structure**

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### **Confirm Allocation Readiness**

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### **Confirm Allocation Object**

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### **Confirm Applicable Allocation Method**

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### **Identify Distribution Unit**

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### **Apply Distribution Method**

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### **Allocate by Subject / Relationship / Basis / Scope Portion**

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### **Preserve Layers / Conditions / Sequence**

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### **Identify Unallocated / Overlapping / Residual Portions**

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### **Identify Uncertainty / Conflict / Dispute**

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### **Validate Allocation Integrity**

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### **Preserve Rationale / Authority / Traceability**

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### **Preserve Change & Historical State**

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### **Governed Liability Allocation**



## **Handoff to Scope & Allocation Reconciliation**

### **Governance Outputs**

LALDM may produce:

**Liability Allocation Identity**

**Allocation Object Reference**

**Governed Liability Scope Reference**

**Allocation Method Record**

**Allocation Method Applicability State**

**Allocation Unit**

**Individual Liability Allocation**

**Shared Liability Allocation**

**Proportional Liability Allocation**

**Non-Proportional Liability Allocation**

**Layered Liability Allocation**

**Conditional Liability Allocation**

**Sequential Liability Allocation**

**Composite Liability Allocation**

**Subject-Specific Allocation**

**Relationship-Specific Allocation**

**Basis-Specific Allocation**

**Scope-Portion Allocation**

**Obligation-Specific Allocation**

**Consequence-Specific Allocation**

**Temporal Allocation**

**Unallocated Liability Portion**

**Allocation Overlap State**

**Potential Over-Allocation State**

**Under-Allocation State**

**Allocation Residual**

**Pending Allocation State**

**Unknown Allocation State**

**Uncertain Allocation State**

**Disputed Allocation State**

**Allocation Conflict Record**

**Allocation Authority Record**

**Allocation Rationale**

**Allocation Change Record**

**Historical Allocation Record**

The principal output is:

**Governed Liability Allocation**

**Critical Distinctions**

LALDM preserves the following distinctions:

Liability Allocation ≠ Payment Distribution Distribution ≠ Scope Expansion Valid Allocation Method ≠ Applicable Allocation Method by default Preferred Distribution ≠ Allocation Method Liability Allocation ≠ Monetary Distribution by default Shared Liability ≠ Equal Liability Allocation Percentage ≠ Universal Liability Percentage Primary Allocation ≠ Secondary Allocation Conditional Allocation ≠ Active Allocation by default Allocation to Subject A ≠ Allocation to Subject B Subject Allocation ≠ Universal Allocation across all Subject Relationships Allocation under Basis A ≠ Allocation under Basis B One Governed Liability Scope ≠ One Uniform Allocation by default Allocation for Consequence A ≠ Allocation for Consequence B by default Allocation at T1 ≠ Allocation at T2 by default Local Liability Allocation ≠ Liability Network Allocation Liability Allocation ≠ Mandatory 100% Distribution by default Allocation Overlap ≠ Over-Allocation by default Under-Allocated Liability ≠ Nonexistent Liability Zero Allocation ≠ Unknown Allocation Pending Allocation ≠ Zero Allocation Unknown Allocation ≠ No Liability Uncertain Allocation ≠ Final Allocation Disputed Allocation ≠ Authority to Select a Preferred Distribution Available Numerical Precision ≠ Justified Allocation Precision Residual Allocation ≠ Zero by default Allocation Conflict ≠ Authority to Average Allocations Multiple Authority Allocations ≠ One Unified Allocation by default Allocation Result ≠ Allocation Rationale Allocation Completeness ≠ Full Distribution by force Harm Distribution ≠ Liability Allocation Causal Contribution Percentage ≠ Liability Allocation Percentage by default Responsibility Distribution ≠ Liability Allocation Accountability Attribution ≠ Liability Allocation Fault Percentage ≠ Liability Allocation Percentage by default Claimed Allocation ≠ Governed Liability Allocation Payment Distribution ≠ Liability Allocation Settlement Distribution ≠ Liability Allocation by default Insurance Payment Share ≠ Liability Allocation Ability to Pay ≠ Liability Allocation Primary Liability Allocation ≠ Final Economic Burden Liability-Bearing Party ≠ Paying Party Insurance Performance ≠ Liability Reallocation by default Indemnification Payment ≠ Primary Liability Reallocation Liability Allocation ≠ Liability Transfer Primary Allocation ≠ Recourse Allocation Allocated Liability ≠ Resolved Liability Allocation Correction ≠ Historical Erasure Allocation Reassessment ≠ Allocation Correction Allocation Reversal ≠ Historical Erasure Current Liability Allocation ≠ Complete Liability Allocation History Allocation Adjustment ≠ Substitute for Scope Correction Superseded Allocation ≠ Deleted Allocation Governed Liability Allocation ≠ Reconciled Liability Scope & Allocation Structure

**Cross-Architecture Boundary**

LALDM may use governed states from other OOF® architectures where those states are legitimate inputs to Liability Allocation.

HAGA™ governs Harm.

ORA™ governs Operational Reality.

AGA™ governs Responsibility, Accountability, Authority, and Attribution.

ADIT® governs evidence and auditability.

VALIDOS™ governs validation.

VFM® governs Value Flow.

OBIDENTITY® governs identity and origin-bound structures.

AIG® and ASGA™ govern AI and autonomous-system states.

PGA™ governs Prediction.

SIMULOS® governs Simulation.

LALDM does not convert those external governance states directly into Liability Allocation.

The canonical interoperability principle is:

An external governed state may inform Liability Allocation without becoming Liability Allocation and without transferring governance ownership of its original domain to LIGA™.

## **Canonical Boundary**

LALDM begins with an:

## **Identified Liability Allocation Structure**

and governs the actual distribution of established Liability.

LALDM governs:

Allocation Readiness, Allocation Method applicability, Allocation Units, quantitative and qualitative distribution, individual and shared distribution, proportional and non-proportional distribution, layered distribution, conditional distribution, sequential distribution, composite distribution, Subject-specific distribution, Relationship-specific distribution, Basis-specific distribution, Scope-portion distribution, unallocated Liability, overlap, Over-Allocation, Under-Allocation, residuals, uncertainty, conflict, authority, rationale, traceability, change, correction, reassessment, versioning, historical integrity, and Reconciliation handoff.

LALDM does not govern:

initial Liability Attachment, Liability Scope establishment, Insurance Coverage, Payment, Indemnification, Transfer, Recourse, Settlement, Resolution, Discharge, or Finality.

LALDM ends when a:

## **Governed Liability Allocation**

is sufficiently explicit and traceable for Scope & Allocation Reconciliation.

## **Use Case 1 — Multi-Party Industrial Liability Distribution**

A Governed Liability Scope contains several allocable portions involving an industrial operator and a maintenance provider.

LALIM identifies the Subjects, Relationships, Scope portions, and applicable Allocation structure.

LALDM then performs the governed distribution.

One Scope portion may be assigned individually to the operator, another may be shared under a governed proportional method, and a third may remain Disputed because the available structure does not support a final distribution.

The module preserves the distinction between the resulting Liability Allocation and any later insurance payment or Recourse relationship.

The output is a Governed Liability Allocation ready for reconciliation against the original Governed Liability Scope.

## **Use Case 2 — Autonomous System Liability Distribution**

A Liability Network involving an autonomous system operator, technology provider, and infrastructure provider contains several established and scoped Liability portions.

LALDM applies the appropriate Allocation Method separately to the relevant portions.

It may distribute a corrective obligation individually, allocate another quantitative portion proportionally, and preserve an unresolved downstream consequence as Unallocated.

Technical causation, operational responsibility, insurance coverage, and financial capacity are not automatically converted into Liability percentages.

The resulting Governed Liability Allocation remains Subject-specific, Relationship-specific, Scope-specific, traceable, and ready for LSARM reconciliation.

## **Canonical Closing Statement**

Allocation is the governed distribution of established Liability.

It is not a shortcut from Harm, causation, responsibility, fault, payment, insurance, or economic burden to a percentage.

LALDM distributes only the Liability that has already been determined, scoped, and structurally prepared for Allocation.

It preserves distinct Subjects, Relationships, Bases, portions, obligations, layers, uncertainty, unresolved Liability, and history.

Scope establishes what Liability covers. Allocation Distribution establishes how that governed Liability is distributed.

Distribute the Liability without confusing who bears it with who ultimately pays it.

## **Governed Links**

Liability Scope & Allocation Standard (LSAS)

LIGA™ Architecture Map

LSARM — Liability Scope & Allocation Reconciliation Module

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